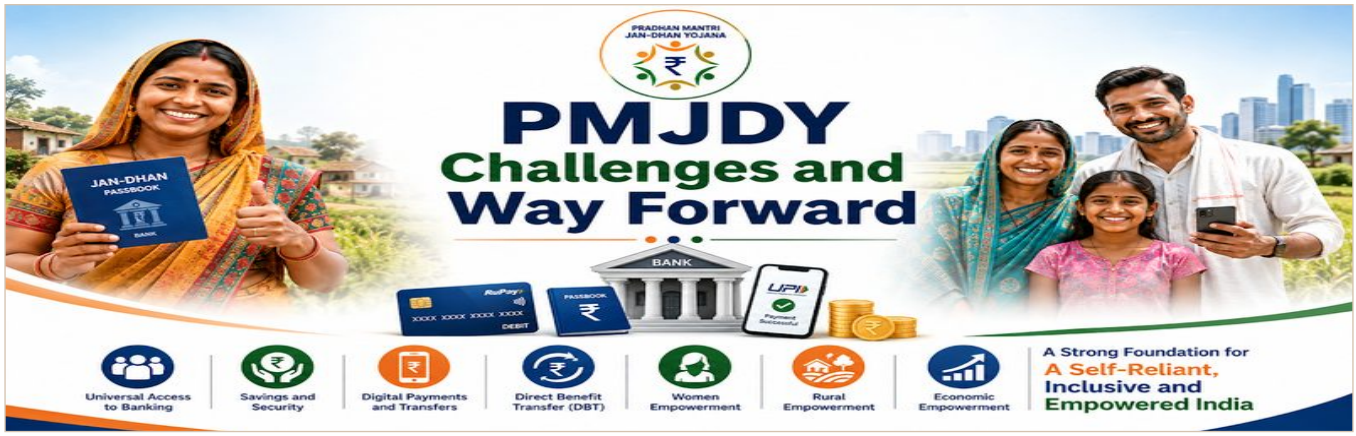


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PMJDY Challenges and Way Forward



Pradhan Mantri Jan-Dhan Yojana (PMJDY) was launched on 28 August 2014 by the Government of India. Read the Challenges and Way Forward

PMJDY Challenges and Way Forward

Syllabus Areas:

GS III - Economy

Pradhan Mantri Jan-Dhan Yojana (PMJDY) was launched on 28 August 2014 by the Government of India. Pradhan Mantri Jan-Dhan Yojana is a financial inclusion initiative of the Government of India aimed at providing access to formal banking and financial services, particularly to underserved sections of society, thereby promoting financial security, inclusive growth and economic empowerment.

Read Why is it in News?

Challenges of PMJDY:

- Opening accounts does not guarantee financial inclusion, especially when beneficiaries rarely use them for savings, payments, credit, insurance, or pensions.
- Limited financial literacy prevents many first-time banking users from understanding interest rates, insurance, credit, digital banking procedures, and fraud prevention.
- Digital exclusion persists because poor connectivity, limited smartphone access, inadequate digital skills, and accessibility barriers restrict participation in digital finance.
- Insufficient banking infrastructure in remote areas makes access difficult when beneficiaries lack nearby branches, ATMs, banking correspondents, or reliable connectivity.
- Banking Correspondents face operational challenges, including availability, reliability, transaction costs, and sustainability, potentially weakening last-mile delivery of financial services effectively.
- Greater digital financial participation can increase exposure to phishing, OTP fraud, identity theft, fake banking calls, and fraudulent digital transactions.
- Aadhaar authentication failures, incorrect beneficiary details, or technical problems can disrupt access to benefits, highlighting the need for grievance mechanisms.
- Having a bank account does not automatically ensure affordable institutional credit, insurance, pensions, investments, or other essential formal financial services.

- Women may possess Jan-Dhan accounts without achieving complete financial autonomy because social constraints, limited literacy, and restricted digital access persist.
- Effective Direct Benefit Transfer requires accurate beneficiary identification, correct account linkage, successful transactions, and beneficiaries' ability to access transferred funds.

Way Forward:

- **Financial Literacy:** Expand targeted awareness programmes to improve understanding of savings, credit, insurance, pensions, and digital banking.
- **Last-Mile Infrastructure:** Strengthen banking correspondents, micro-ATMs, ATMs, and internet connectivity in underserved rural regions.
- **Active Usage:** Encourage regular savings, digital transactions, and meaningful use of financial products.
- **Digital Inclusion:** Provide affordable smartphones, reliable internet, vernacular interfaces, and digital-literacy training.
- **Cybersecurity:** Strengthen fraud prevention, transaction monitoring, consumer awareness, and grievance redressal.
- **Institutional Credit:** Improve access to affordable credit, insurance, pensions, and investments.
- **Women's Empowerment:** Promote women's financial independence, literacy, entrepreneurship, and account usage.
- **Efficient DBT:** Ensure reliable Aadhaar-linking, authentication, and transaction systems.
- **Inclusive Banking:** Simplify procedures and provide multilingual, assisted services.
- **Outcome-Based Approach:** Measure inclusion through usage, savings, credit, security, and empowerment.

PMJDY has transformed financial inclusion by bringing millions into the formal banking system. The next phase must move beyond account opening towards active usage, digital inclusion, financial security and empowerment, ensuring that every beneficiary gains sustainable economic opportunities and resilience.